

A.3 Heterogeneity by Educational Background

This appendix examines whether the decline in junior employment varies by workers' educational background, as referenced in Section 5.2.3. We first describe the construction of the school-quality variable, then present the heterogeneity results.

A.3.1 Construction of the School-Quality Variable

To capture educational background, we construct a position-level measure of school quality. For each position, we assign the institution where the worker most recently studied, provided that the education ended no later than one year after the job start. If no such record exists, we use the first recorded institution, provided it began before the job start date. Each institution is then assigned a GPT-4-based quality rating on a five-point scale, produced using OpenAI's GPT-4o-mini model (see Supplemental Appendix A.11.2 for the full prompt). A score of 1 corresponds to Ivy League and other globally elite institutions; 2 to highly respected international universities; 3 to strong national or regional schools; 4 to lower-tier but standard institutions; and 5 to minimally selective or non-accredited institutions.

A.3.2 Results

We re-estimate Equation 34 for junior employment separately within each of the five school-quality tiers. For clarity of presentation, we use a single post-treatment indicator for quarters after 2023Q1 instead of a full set of time dummies.

The results, shown in Figure A.12, reveal a U-shaped pattern. Juniors from tier-3 universities experienced the steepest relative declines in employment, while those from tiers 2 and 4 also saw significant reductions. Juniors from tier-1 and tier-5 universities experienced the smallest decline.³³ Figure A.13 reports the time-series version of these estimates, with a full set of time dummies in place of the single post-2023 indicator.

To help interpret this pattern, Figures A.14 and A.15 show average predicted salaries³⁴

³³In the analysis, we exclude positions where the worker's most recent educational entry is reported as a high school (approximately 5 percent of positions). Including these positions, based on high school quality, has virtually no effect on the results.

³⁴Actual position-level salaries are unavailable. However, Revelio Labs provides a predicted salary